Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$104.26 ▼ 5.01%	12M Price Target **$115.00**	52-Week Range $63.52 – $153.86	Market Cap $93.74B

HOOD: Prediction Market Ruling Slams Brakes on Rally

WHAT HAPPENED

- HOOD dropped 5% today because the Ninth Circuit (a federal appeals court covering the western US) ruled AGAINST Robinhood, Kalshi, and Crypto.com in their fight with Nevada gaming regulators. Translation: states CAN regulate prediction markets (bets on elections, sports, events) as gambling — which means Robinhood's fast-growing event contracts business just got a legal wall built around it, state by state.
- The kicker: DraftKings and Flutter (traditional sportsbooks) ripped 8-10% on the same news because a separate ruling said sports bets aren't "swaps" — meaning the prediction market platforms can't legally muscle into sports betting turf. HOOD's expansion path just got narrower.

WHY IT MATTERS

This ruling matters way more than the 5% drop suggests. Prediction markets were the sexy growth story analysts were bolting onto HOOD's valuation — the idea that Robinhood could become the "everything betting app" for elections, sports, and events. Now every state can potentially require them to get a gambling license, which is expensive, slow, and in some states (Texas, Utah) basically impossible. The bearish options flow (big put buying at $108) suggests smart money saw this coming and expects more downside as HOOD has to guide down prediction market revenue expectations. Meanwhile, the sympathetic strength in DKNG/FLUT tells you the market thinks incumbents (licensed sportsbooks) just won a moat.

POLICY & POLITICAL WATCH

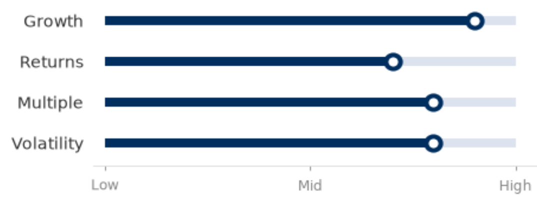
The big regulatory question now: does the CFTC (federal commodities regulator, which has been friendly to prediction markets) fight back, and can Congress pass anything clarifying federal vs state jurisdiction over event contracts? Under the current administration, the CFTC has been permissive on prediction markets, but this Ninth Circuit ruling essentially says federal permission doesn't preempt state gambling laws — that's a huge deal. Watch for HOOD to lobby hard for federal preemption legislation, but with sports leagues, tribal casinos, and state AGs all lined up against them, this is an uphill fight that could take 12-18 months to resolve.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$104.26**
12M Price Target	**$115.00**
Upside / (Downside)	**+10.3%**
Market Cap	**$93.74B**
FY2026E Revenue	**$4,280M**
FY2027E Revenue	**$5,150M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**56.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

HOOD — Robinhood Markets, Inc. | August 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$118.00**	$105.00	**$92.00**
6 Months	**$135.00**	$115.00	**$85.00**
1 Year	**$160.00**	$120.00	**$75.00**
2 Years	**$200.00**	$140.00	**$65.00**
5 Years	**$300.00**	$180.00	**$50.00**
10 Years	**$500.00**	$250.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Traditional gambling (DKNG, FLUT, MGM) — the court rulings just handed them a regulatory moat against tech disruptors. Communications Services broadly up 1.4% on ad-market strength.

COOLING OFF: Fintech disruptors trying to expand into regulated verticals — the message from courts is "stay in your lane." Crypto-adjacent names could also feel pressure if trading volumes soften.

ROTATION WATCH: Money is rotating FROM prediction-market-adjacent fintech (HOOD, COIN) INTO licensed gambling operators (DKNG, FLUT) — that's a direct response to today's rulings and it's likely to persist for weeks.

RELATED PLAY: If prediction markets get boxed in, licensed sportsbooks capture the demand. DKNG and FLUT are the obvious plays; the second-order beneficiary is state tax revenue (indirectly benefits state-level muni bonds) and companies like GENI (Genius Sports) that provide data to licensed operators.

WHO'S WINNING IN THIS SPACE?

- DKNG (DraftKings): +10% on the ruling that sports bets aren't swaps — their regulatory moat just got reinforced
- FLUT (Flutter Entertainment): +8% same reason — FanDuel parent benefits from prediction markets being blocked from sports

HOOD CONTEXT: HOOD is LAGGING badly today against its fintech peers and getting crushed relative to the gambling names that just took its lunch. This tells you the market views today's news as a specific HOOD/Kalshi/Crypto.com problem, not a sector-wide issue — which means near-term, HOOD needs its own catalyst (strong crypto volumes, CFTC intervention, or a favorable ruling elsewhere) to break out of this range.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $90-95 on regulatory pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Federal court rules against CFTC preemption of state gambling laws, or crypto trading volumes collapse

Hedging: Long DKNG or FLUT as offset — they benefit from prediction market losers